

Once again, this is as good time as any to encourage you to sit down and create a similar list of all your financial and nonfinancial assets. There is very little point in creating a long-term financial plan without having a detailed snapshot of your current assets. At the very least, the type of information contained in Tables 1.1 and 1.2 will enable you to benchmark yourself relative to the population as a whole. Remember, though, we will return later to one asset class that is missing from both tables—the value of your human capital. For now, let’s stick to the traditional accounting numbers.

TABLE 1.2 Nonfinancial Assets of Family, Inc.

Type of Asset	% with Asset	Median Amount	Change from '01
Vehicles	86.3%	\$14,000	–2.78%
Primary Residence	69.1%	\$160,000	+22.1%
Other Residence	12.6%	\$100,000	+17.4%
Equity in Nonresidential	8.2%	\$60,000	+13.9%
Business Equity	11.5%	\$100,000	–6.10%
Other	7.5%	\$15,000	+17.2%

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 8 04; IFID Centre calculations.

Either way, I have reviewed the various assets of You/Family, Inc. The main takeaway, of course, is that almost 50% of families report having money in “retirement accounts” and the median amount of money in these accounts is \$35,000. Will it be enough to finance retirement? That is one of the main questions addressed later in the book. For now, let’s move on to some other financial metrics and benchmarks.

The pretax “bottom line” of Family, Inc. is shown in Table 1.3. It lists the average versus the median pretax income per family unit, measured over a 15-year period. The average numbers are consistently higher than the median numbers. This is because the median treats all families equally, whereas the average places a greater weight on the wealthier families. It is important to keep this distinction in mind. Remember that the median “value” of the three numbers {1,10, 88} is exactly 10 units. It is the halfway mark. However, the average “value” is a much larger 33, because if you add these three numbers together and divide by three, you get 33 units.